

Economics Academy

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Edexcel A-Level Economics Theme 2 Flashcards

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106 cards · 24 topics · [Edexcel A Theme 2: The UK Economy - Performance and Policies](#)

Edexcel A-Level Economics Theme 2 Flashcards

Define GDP, and distinguish actual from potential growth.

ANSWER

Gross Domestic Product — the total monetary value of all final goods and services produced within a country's borders in a given year: the primary measure of economic activity.

Actual growth is a rise in real GDP — producing more than last year.

Potential growth is a rise in productive capacity — what the economy could produce at full employment.

State the expenditure approach to measuring GDP.

ANSWER

$$GDP = C + I + G + (X - M)$$

Consumption + Investment + Government spending + Net exports. The income approach — summing wages, rent, interest and profit — must reach the same total, because every pound spent is a pound of income for someone.

Distinguish real vs nominal **GDP**, total vs per capita, **and define** GNI.

ANSWER

Nominal GDP is measured at current prices.

Real GDP is adjusted for inflation, showing the true change in the volume of output — the measure of growth (value vs volume).

GDP per capita divides real GDP by population — the better guide to average living standards.

GNI — GDP plus net income from abroad, such as profits sent home by citizens overseas minus income flowing out to foreign owners.

What are purchasing power parities (PPPs), and why are they used?

ANSWER

PPP — a conversion factor that accounts for differences in the cost of living between countries, adjusting income figures to show how much a standard basket of goods can be bought locally.

PPP-adjusted figures make international comparisons of real living standards meaningful: £1,000 buys far more in some countries than others, so raw exchange-rate conversions mislead.

Evaluate the limitations of GDP for comparing living standards.

ANSWER

- GDP per capita masks **inequality**.
- It excludes **unpaid work**, leisure and environmental quality.
- It counts welfare-reducing 'bads' like pollution clean-up.
- It struggles with **quality improvements**.
- It misses the informal economy.

What does the national happiness evidence add to GDP?

ANSWER

National wellbeing is measured alongside GDP: the UK tracks subjective happiness, and rising real incomes raise reported happiness only weakly beyond a point.

Define inflation, deflation and disinflation.

ANSWER

Inflation — a sustained increase in the general/average price level of goods and services in an economy.

Deflation — a sustained decrease in the general price level: a negative inflation rate.

Disinflation — a decrease in the rate of inflation: prices still rising, but more slowly.

How is UK inflation measured with the CPI? State the inflation-rate formula.

ANSWER

$$\text{Inflation rate} = \frac{\text{CPI}_{\text{year 2}} - \text{CPI}_{\text{year 1}}}{\text{CPI}_{\text{year 1}}} \times 100$$

A representative basket of around 700 goods and services, **weighted** by each item's share of household spending, is priced monthly; the basket's cost is expressed as an index against a base year set to 100. The Bank of England's target is CPI inflation of 2%.

A basket costs £480 in the 2023 base year, £504 in 2024 and £524.16 in 2025. Calculate the CPI for each year and the inflation rate for 2024 and 2025.

ANSWER

CPI 2023 = **100** (the base year)

CPI 2024 = $504 \div 480 \times 100 =$ **105**

CPI 2025 = $524.16 \div 480 \times 100 =$ **109.2**

Inflation 2024 = $(105 - 100) \div 100 \times 100 =$ **5%**

Inflation 2025 = $(109.2 - 105) \div 105 \times 100 =$ **4%**

Inflation fell yet the basket still costs more — disinflation, not deflation. Each year's rate is measured against the previous year's index, not the base year.

State the limitations of the CPI, and how the RPI differs.

ANSWER

CPI's average basket may not represent particular households (pensioners, students); it ignores regional variation; it lags quality improvements and consumers' substitution to cheaper alternatives; and it rests on sample surveys.

RPI includes housing costs such as mortgage interest and council tax, generally yields a higher rate, and is not the UK's official target measure.

Explain the three causes of inflation.

ANSWER

Demand-pull — anything raising C , I , G or $X-M$ shifts AD right and pulls the price level up.

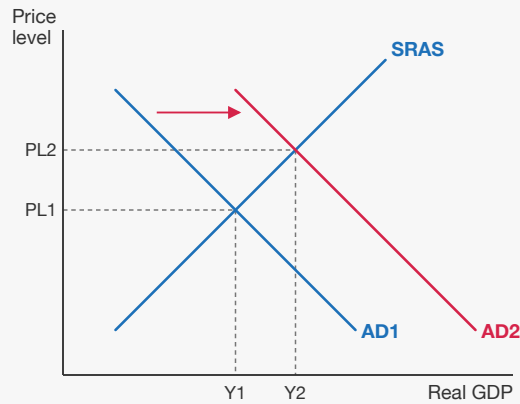
Cost-push — higher production costs (commodity prices, wages, indirect taxes, a weaker currency) shift $SRAS$ left, raising prices while cutting output.

Money supply growth — excessive growth (e.g. quantitative easing) fuels both: cheaper borrowing boosts spending, and a depreciating currency raises import costs.

A **wage-price spiral** can then sustain inflation after the original cause fades.

Show demand-pull inflation on an AD/AS diagram.

ANSWER

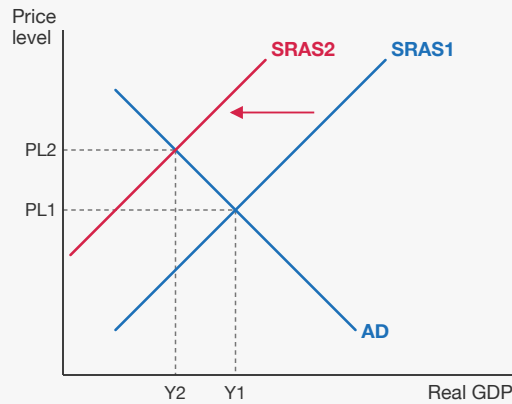


Aggregate demand shifts right (AD1 to AD2) — from rising consumer spending, investment, government spending or net exports — while SRAS is unchanged. The equilibrium moves up the SRAS curve: the price level rises from PL1 to PL2 as output rises from Y1 to Y2.

Prices are **pulled up by excess demand**, which is why demand-pull inflation strengthens as the economy nears full capacity.

Show cost-push inflation on an AD/AS diagram.

ANSWER



An economy-wide rise in production costs — dearer oil or raw materials, higher wages, a depreciation raising import prices — shifts short-run aggregate supply left (SRAS1 to SRAS2), while AD is unchanged. The price level rises from PL1 to PL2 and output falls from Y1 to Y2.

Costs **push prices up** even as output shrinks — unlike demand-pull, inflation and output move in opposite directions.

Evaluate the effects of inflation on consumers, firms, the government and workers.

ANSWER

- **Consumers** — real incomes and the value of savings erode, hitting living standards.
- **Firms** — uncertainty discourages investment, higher inflation than trading partners erodes international competitiveness, and menu costs mount.
- **Government** — index-linked pensions and benefits cost more, widening the deficit.
- **Workers** — real wages fall unless pay keeps pace, prompting the wage demands that can spiral.

Define unemployed, the labour force and economically inactive.

ANSWER

Unemployed — an individual of working age who is without work, but is willing and able to work, and is actively seeking employment.

Labour force — those in employment plus the unemployed actively seeking work.

Economically inactive — working-age people not seeking work: full-time students, early retirees, the long-term sick, discouraged workers.

A working-age population of 40 million has 26m in employment, 2m unemployed and 12m economically inactive. Calculate the unemployment rate and the employment rate.

ANSWER

Labour force = 26m + 2m = **28m**

Unemployment rate = $2 \div 28 \times 100 = 7.1\%$

Employment rate = $26 \div 40 \times 100 = 65\%$

The two rates use different denominators — the labour force versus the whole working-age population — which is why they do not sum to 100%: the 12 million inactive appear in neither.

Contrast the UK's two measures of unemployment.

ANSWER

ILO / Labour Force Survey — the internationally comparable household survey: unemployed means without work, available to start within two weeks, and actively seeking in the last four.

Claimant Count — the number claiming unemployment-related benefits such as Jobseeker's Allowance. Usually lower than the LFS, since not all unemployed people claim.

Name and define the five causes of unemployment.

ANSWER

- **Structural** — skills mismatch as industries decline or technology shifts (coal mining regions).
- **Cyclical (demand-deficient)** — a lack of aggregate demand in downturns (2008).
- **Frictional** — short spells between jobs.
- **Seasonal** — demand for labour varies through the year (ski instructors in summer).
- **Real wage inflexibility** — wages held above the market-clearing level create excess labour supply.

Define underemployment, and distinguish it from unemployment.

ANSWER

Underemployment — when workers are in jobs that underutilise their skills, or want to work more hours than they do — a qualified teacher working part-time as a barista.

Unlike the unemployed they have work, so they appear in the employment figures — a waste of productive potential hidden inside the statistics.

Evaluate the effects of unemployment on individuals, government and firms.

ANSWER

- **Individuals** — lower incomes and living standards, skills erode, health suffers.
- **Government and society** — lower tax revenue and higher welfare spending widen the deficit; social costs rise.
- **Firms** — weaker sales, though a larger labour pool can lower hiring costs.

Why do migration and skills matter for unemployment?

ANSWER

Migration cuts unemployment where migrants fill shortages, and migrants' spending creates jobs; competition can raise unemployment in particular low-skilled sectors.

Skills determine who escapes structural unemployment.

Define the balance of payments, and name its three accounts.

ANSWER

Balance of payments — a record of all financial transactions between a country and the rest of the world. It must always balance: total credits equal total debits.

- **Current account** — trade and income flows.
- **Capital account** — capital transfers and non-produced assets (small, often ignored).
- **Financial account** — cross-border investment flows (FDI, portfolio investment, reserves), which finance the current account balance.

Name the four components of the current account.

ANSWER

- **Trade in goods** (visible balance) — exports credit, imports debit.
- **Trade in services** (invisible balance) — banking, tourism, insurance.
- **Primary income** — net investment income: dividends, interest, FDI profits.
- **Secondary income** — net transfers with nothing exchanged: aid, pensions, remittances.

Goods: credits £320bn, debits £410bn. Services: £290bn, £210bn. Primary income: £95bn, £120bn. Secondary income: £20bn, £35bn. Calculate the current account balance.

ANSWER

Goods: $320 - 410 = -£90\text{bn}$

Services: $290 - 210 = +£80\text{bn}$

Primary income: $95 - 120 = -£25\text{bn}$; secondary income: $20 - 35 = -£15\text{bn}$

Balance = $-90 + 80 - 25 - 15 = -£50\text{bn deficit}$. The services surplus partly offsets the goods deficit — quoting goods alone would overstate the deficit by £40bn.

What causes a current account deficit?

ANSWER

Causes:

- High consumer spending and low saving pulling in imports.
- Weak competitiveness and low productivity.
- A strong currency.
- Slowdown in export markets.
- Structural issues such as deindustrialisation.

Economies are interconnected through trade, so one country's deficit is another's surplus.

How does correcting a current account deficit conflict with other objectives?

ANSWER

Corrections trade off against other objectives — cutting demand through fiscal or monetary tightening slows growth and raises unemployment; supply-side improvement works but slowly and at a cost.

Define aggregate demand, and explain why the AD curve slopes downward.

ANSWER

Aggregate demand — the total demand for all goods and services in an economy at a given average price level and in a given time period.

It slopes downward because a lower price level: raises the real value of money (**wealth effect**); lowers interest rates, encouraging borrowing (**interest rate effect**); and makes exports cheaper and imports dearer (**international trade effect**).

State the components of aggregate demand.

ANSWER

$$AD = C + I + G + (X - M)$$

- **C** — consumption: household spending on goods and services.
- **I** — investment: firms' spending on capital goods.
- **G** — government spending on state-provided goods and services, **excluding** transfer payments such as benefits.
- **(X - M)** — exports minus imports.

Rank the components of AD by relative importance in the UK.

ANSWER

- **Consumption** — around 60%, the largest component, so consumer confidence and incomes move AD most.
- **Government spending** — around 25%, set by fiscal policy.
- **Investment** — around 14%, the most volatile component.
- **Net exports** — small and often negative, roughly 1% or less.

C = £1,200bn, I = £280bn, G = £500bn, X = £640bn, M = £660bn. Calculate aggregate demand.

ANSWER

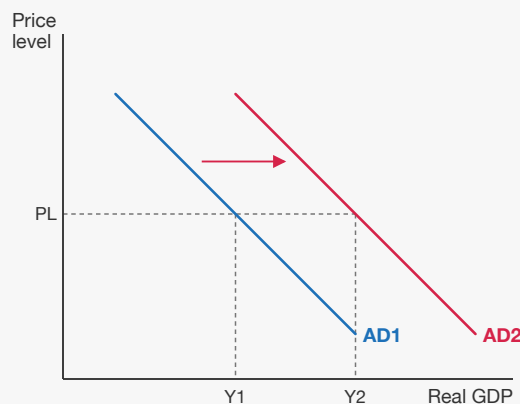
$$AD = 1,200 + 280 + 500 + (640 - 660) = \text{£1,960bn}$$

Net trade is negative (−£20bn) because imports exceed exports, so it is subtracted.

The shares match the UK pattern: consumption 61%, government 26%, investment 14%, net trade −1%.

Distinguish a movement along the AD curve from a shift of it.

ANSWER



A **movement along** AD is caused only by a change in the average price level, other factors constant. A **shift** (AD1 to AD2) is caused by a change in any determinant other than the price level — C, I, G or X – M — changing total planned expenditure at every price level.

Define disposable income, and state its role in consumption.

ANSWER

Disposable income — income available for spending after direct taxes, such as income tax, and after adding government transfer payments, such as benefits.

It is the primary determinant of consumption — households can only spend what they have available — and disposable income is split between consumption and saving.

Define the marginal propensity to consume (MPC) and the marginal propensity to save (MPS).

ANSWER

MPC — the proportion of an increase in disposable income that is spent on consumption.

MPS — the proportion of an increase in disposable income that is saved.

If a household spends £80 of an extra £100, the MPC is 0.8. A rise in the MPC means a fall in the MPS — every extra pound is either spent or saved.

Beyond disposable income, what influences consumption?

ANSWER

- **Interest rates** — higher rates raise borrowing costs and the reward for saving, cutting consumption.
- **Consumer confidence** — optimism about future income encourages spending and borrowing.
- **Wealth effects** — rising house prices or share values encourage spending.
- **Income distribution** — lower-income households have a higher MPC, so a more equal distribution raises total consumption.

Distinguish gross from net investment, and define depreciation.

ANSWER

Gross investment — total spending on capital goods.

Net investment — gross investment minus depreciation: the true addition to the capital stock, which is what raises productive potential.

Depreciation — the loss of value of capital goods over time due to wear and tear, obsolescence, or other factors.

A firm spending £1m on machinery while £200,000 of capital wears out makes £800,000 of net investment.

List the influences on investment.

ANSWER

- **The rate of economic growth** — growth raises expected demand.
- **Business expectations and confidence** — and Keynes' '**animal spirits**': sentiment and intuition, not just calculation.
- **Demand for exports** — export orders justify new capacity.
- **Interest rates** — cheaper borrowing makes more projects viable.
- **Access to credit** — willing lenders matter as much as the rate.
- **Government and regulations** — tax incentives or restrictions.

Explain the accelerator effect.

ANSWER

Investment depends on the **change** in the rate of economic growth, not its level. When growth accelerates, firms run short of capacity and must invest in new capital to meet the extra demand; when growth merely continues at the same rate, existing capacity suffices and investment need not rise at all.

This helps explain why investment is the most volatile component of AD.

Explain the dual impact of investment on the economy.

ANSWER

Short run — investment is a component of AD, so more of it raises demand, stimulating growth and employment.

Long run — investment adds to the capital stock, raising the economy's productive potential and shifting **LRAS** right, which supports non-inflationary growth. The same spending works on both sides of the AD/AS diagram.

What are the main influences on government expenditure?

ANSWER

The trade cycle — spending rises automatically in downturns as welfare claims grow, and falls in booms.

Fiscal policy — discretionary choices:

- **Expansionary** policy raises G (infrastructure, education) to boost AD, growth and jobs.
- **Contractionary** policy cuts G to cool inflation or close a deficit.

Political priorities and demographics (an ageing population) shape the mix.

Explain how automatic stabilisers work over the trade cycle.

ANSWER

Recession — welfare claims rise and tax revenues fall, so government spending rises automatically: a fiscal stimulus that supports AD without any policy decision.

Boom — welfare claims fall and tax revenues rise, so spending falls: an automatic contraction that cools the economy. The stabilisers dampen the cycle in both directions.

Define net trade, and list its main influences.

ANSWER

Net trade — exports minus imports ($X - M$).

A surplus ($X > M$) adds to aggregate demand; a deficit ($X < M$) subtracts from it.

Influences:

- Real incomes at home and abroad.
- Exchange rates.
- The state of the world economy.
- The degree of protectionism.
- Non-price factors such as quality, branding and innovation.

How does a currency depreciation affect the trade balance? Name the two qualifications.

ANSWER

A depreciation makes exports cheaper and imports dearer, improving the trade balance — but only if the **Marshall-Lerner condition** holds: the combined price elasticities of demand for exports and imports must exceed one.

And not immediately: demand is inelastic in the short run, so the balance often **worsens before improving** — the **J-curve effect**, after the shape the trade balance traces over time.

How do real incomes, the world economy and protectionism move the trade balance?

ANSWER

- **Real incomes** — rising domestic incomes pull in imports (worsening); rising foreign incomes lift exports (improving).
- **World economy** — global growth lifts export demand, and for an open economy like the UK it is often the most important short-run driver.
- **Protectionism** — tariffs and quotas cut imports, but invite retaliation against exports and raise prices at home.
- **Non-price competitiveness** — quality, branding and innovation decide who wins the trade that prices don't.

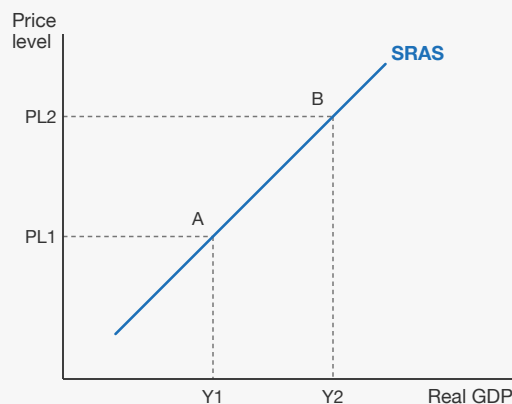
Define short-run aggregate supply (SRAS).

ANSWER

Short-run aggregate supply is the total planned output of goods and services in an economy at a given price level in a period where at least one factor of production is fixed, such as the capital stock or technology.

Why does the SRAS curve slope upward?

ANSWER



In the short run, producing more means **rising unit costs** — overtime wages, less efficient machinery pressed into service. Firms need higher prices to make the extra output worthwhile, so quantity supplied rises with the price level.

A rise in the price level from PL1 to PL2 is a **movement along** the curve (A to B), raising real GDP supplied from Y1 to Y2.

Distinguish a movement along the SRAS curve from a shift of it.

ANSWER

A **movement along** SRAS is caused only by a change in the average price level, other things constant — firms change their level of output in response to the price level.

A **shift** of the whole curve is caused by a change in any condition of SRAS — production costs changing for firms across the economy — altering the output supplied at every given price level.

Explain the relationship between SRAS and LRAS.

ANSWER

SRAS shows what firms **will produce** at different price levels while at least one factor is fixed.

LRAS shows what the economy **can produce** at maximum potential — its productive capacity.

In the long run the economy tends towards the LRAS level of output; SRAS shocks are temporary adjustments around that trend. Long-run growth is an outward shift of LRAS.

State the factors that shift SRAS.

ANSWER

Three cost factors:

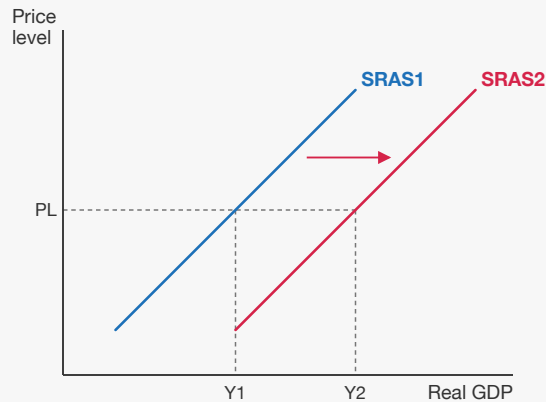
- **Changes in costs of raw materials and energy.**
- **Changes in exchange rates.**
- **Changes in tax rates** (indirect taxes raise costs; subsidies work in reverse).

All operate through production costs — falling costs shift SRAS right, rising costs shift it left.

Supply shocks such as natural disasters or sudden oil-price moves act the same way.

Show the effect of a fall in production costs on SRAS.

ANSWER



SRAS shifts right (SRAS1 to SRAS2): firms are willing to supply more at **every given price level**, so at the unchanged price level PL, output rises from Y1 to Y2.

Causes include cheaper raw materials or energy, an appreciation cutting import costs, lower indirect taxes or new subsidies. A rise in costs shifts the curve left instead.

Explain how a depreciation of the pound affects SRAS.

ANSWER

A depreciation makes imported raw materials and energy **more expensive in sterling**, raising production costs for firms across the economy. SRAS shifts left, giving a higher price level together with lower real output.

An appreciation has the opposite effect: cheaper imported inputs, SRAS shifts right.

What is a cost-push shock? Trace its effect on output and prices.

ANSWER

A **cost-push shock** is a sudden economy-wide rise in production costs, such as a sharp rise in oil prices. SRAS shifts left, and the result is a higher price level together with lower real output.

The same mechanism working over time — production costs rising across the economy — is the origin of **cost-push inflation**.

Define long-run aggregate supply (LRAS).

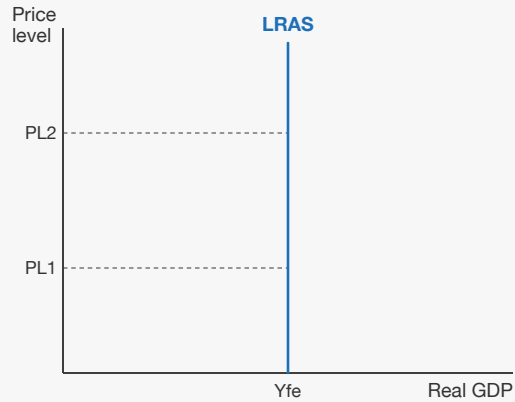
ANSWER

Long-run aggregate supply is the total potential output of an economy when all factors of production are fully and efficiently employed. It represents the economy's **productive capacity**.

Shifts in LRAS represent long-run growth or decline — equivalent to an outward or inward shift of the production possibility frontier.

Draw and explain the classical LRAS curve.

ANSWER

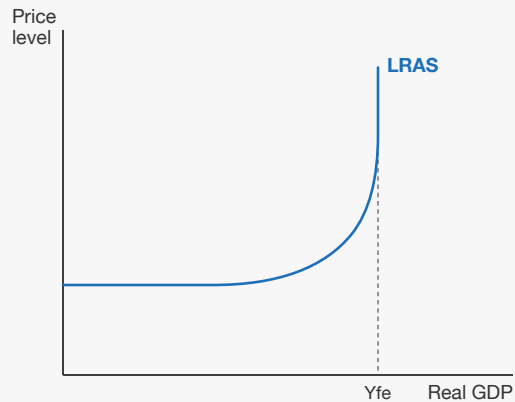


Classical economists hold that in the long run the economy **always adjusts to full employment**, so potential output depends on the quantity and quality of the factors of production — not the price level. LRAS is **perfectly inelastic**: vertical at full-employment output Y_{fe} .

Any change in AD therefore changes only the price level ($PL1$ to $PL2$) in the long run, not real output.

Draw and explain the Keynesian LRAS curve.

ANSWER



Keynesians argue the economy can sit **below full employment for a long time**, so the curve is L-shaped with three phases:

- **Perfectly elastic** at low output, where spare capacity lets firms expand without raising prices.
- **Upward sloping** as resources grow scarcer and rising costs are passed on.
- **Vertical** at full capacity Y_{fe} , where extra demand only raises prices.

Why does the shape of LRAS matter for policy?

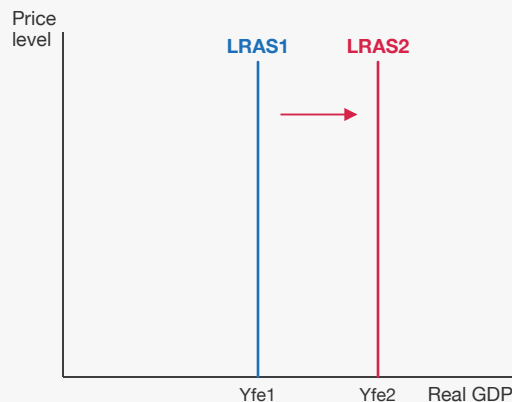
ANSWER

The disagreement is over whether demand can raise long-run output. In the **classical** view the economy self-corrects to full employment, so boosting AD only raises the price level — governments should work on the supply side.

In the **Keynesian** view the economy can stay below full employment, so with spare capacity a rise in AD raises real output with little inflation — a case for demand-side stimulus in a downturn. Which model fits depends on how close the economy is to capacity.

Show long-run economic growth on a classical LRAS diagram.

ANSWER

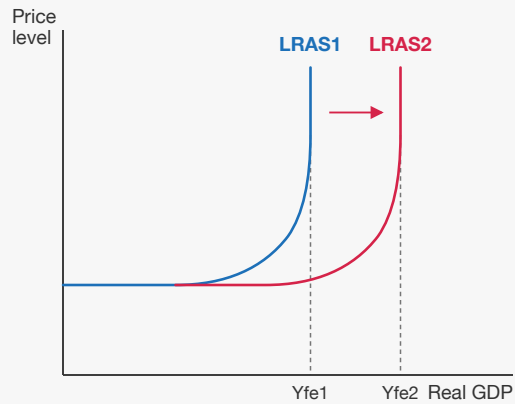


Growth in productive capacity shifts LRAS outward (LRAS1 to LRAS2), raising full-employment output from Y_{fe1} to Y_{fe2} — the same story as an outward PPF shift.

It comes from anything that improves the **quantity or quality** of the factors of production: investment in capital, technology, a larger or better-skilled workforce.

Show long-run economic growth on a Keynesian LRAS diagram.

ANSWER



The whole L-shaped curve shifts right (LRAS1 to LRAS2): the vertical full-capacity section moves from Y_{fe1} to Y_{fe2} , so the economy can reach a higher level of real output before inflationary pressure sets in.

The causes are the same as on the classical diagram — anything that improves the quantity or quality of the factors of production.

List the factors that shift LRAS.

ANSWER

Six factors:

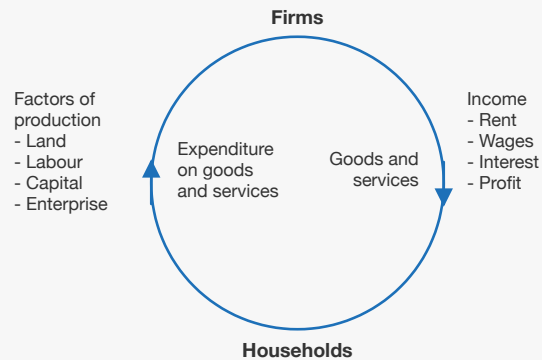
- Technological advances.
- Changes in relative productivity.
- Changes in education and skills.
- Changes in government regulations.
- Demographic changes and migration.
- Competition policy.

Each works by changing the quantity or quality of the factors of production.

The policies that target them are supply-side policies (2.6.3).

Draw the circular flow of income for a simple two-agent economy.

ANSWER



Households and firms are linked by two pairs of flows.

Real flows: households provide the factors of production — land, labour, capital, enterprise — and firms provide goods and services.

Money flows: firms pay income — rent, wages, interest, profit — and households return it as consumer expenditure, which becomes firms' revenue.

Income circulates continuously between the two.

Define national income, and state the three ways of measuring it.

ANSWER

National income — the total value of output, expenditure, and income generated in an economy over a period of time, usually a year.

Measured three ways, which in theory give the same total: the **output** method (value of all goods and services produced), the **income** method (all incomes earned) and the **expenditure** method (all spending, $C + I + G + (X - M)$).

Distinguish income from wealth.

ANSWER

Income is a **flow** — money received over a period of time, such as wages or interest.

Wealth is a **stock** — assets that can generate income, such as property or savings. The two interact: wealth generates income, and saved income adds to wealth — but a high income does not guarantee high wealth, or vice versa.

Name the three injections into the circular flow, with their sources.

ANSWER

Additions of new spending that expand the flow:

- **Investment (I)** — firms' spending on capital goods, sourced from the financial sector.
- **Government spending (G)** — public-sector spending on state-provided goods and services.
- **Exports (X)** — revenue from foreign buyers of domestic output.

Name the three withdrawals from the circular flow, with their destinations.

ANSWER

Incomes not spent on domestic output, shrinking the flow:

- **Savings (S)** — income placed in banks or pensions (the financial sector).
- **Taxation (T)** — income paid to the government.
- **Imports (M)** — spending that flows overseas.

Also called leakages.

State the condition for equilibrium in the circular flow, and what happens away from it.

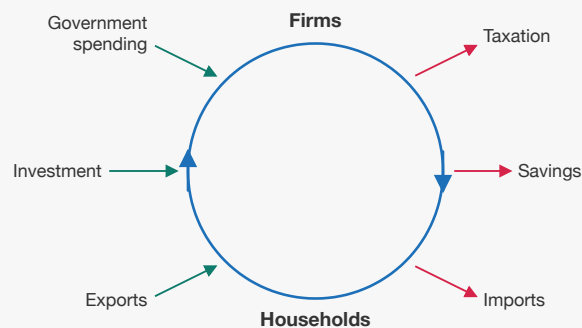
ANSWER

$$I + G + X = S + T + M$$

National income is in equilibrium when total injections equal total withdrawals. If **injections exceed withdrawals**, the circular flow expands and national income grows; if **withdrawals exceed injections**, it contracts and the economy moves towards recession.

Draw the extended circular flow, showing injections and withdrawals.

ANSWER



Extending the model to include the government, the financial sector and foreign trade adds flows that change the size of the circular flow:

- Injections — **investment, government spending, exports** — enter it.
- Withdrawals — **savings, taxation, imports** — leave it.

The economy grows when the money entering exceeds the money leaving out.

Define short-run and long-run macroeconomic equilibrium.

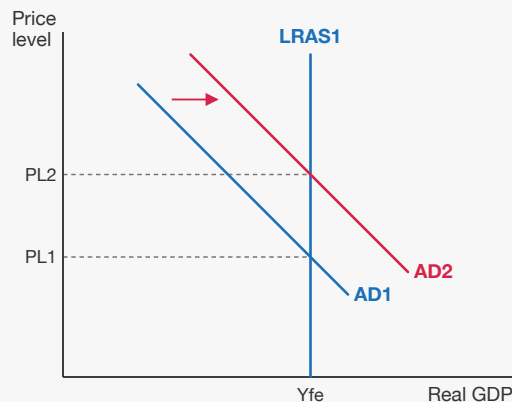
ANSWER

Short-run equilibrium occurs where $AD = SRAS$, determining the actual price level and real national output.

Long-run equilibrium divides the schools: in the classical view it occurs only where $AD = SRAS = LRAS$ at full employment Y_{fe} — deviations self-correct through wages and prices. In the Keynesian view the economy can settle in equilibrium **below** Y_{fe} , with unemployment persisting unless demand is stimulated.

Show the effect of a rise in AD in the classical model.

ANSWER

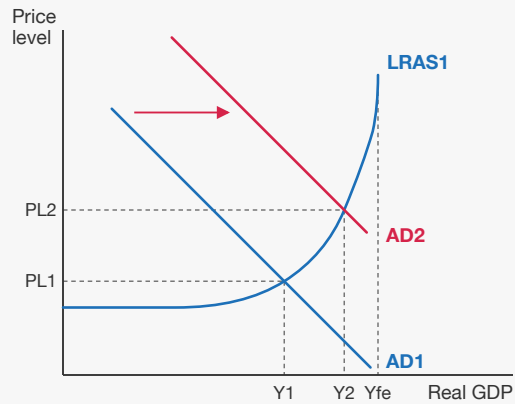


Against a vertical LRAS, a rightward shift of AD (AD1 to AD2) raises the price level from PL1 to PL2 but leaves output unchanged at Y_{fe} .

In the classical long run, demand management cannot raise real output — extra demand is purely inflationary, because the economy is already at full employment.

Show the effect of a rise in AD in the Keynesian model.

ANSWER

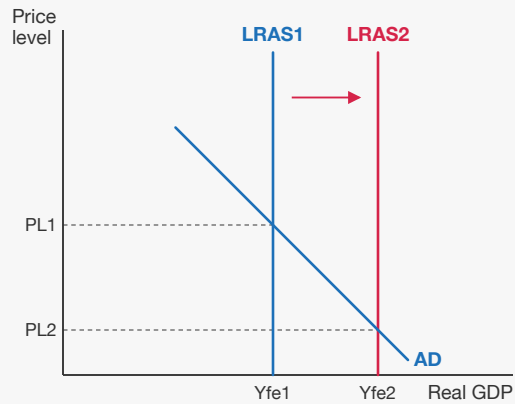


With spare capacity, a rightward shift of AD (AD1 to AD2) along the L-shaped curve delivers a **large rise in output** (Y1 to Y2) for only a modest rise in the price level (PL1 to PL2), still short of full capacity Yfe.

The effect of any AD shift depends on **where the economy sits on the curve**: flat section — mostly output; vertical section — mostly prices.

Show the effect of a rise in LRAS in the classical model.

ANSWER

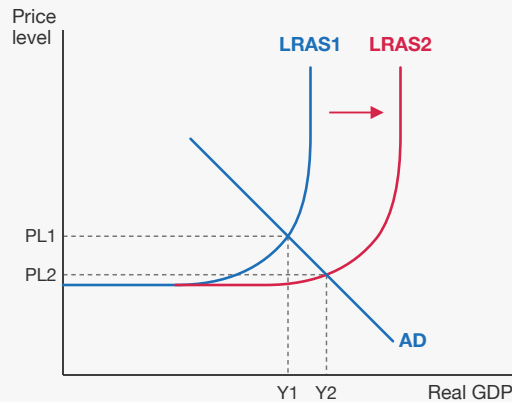


LRAS1 shifts right to LRAS2 along the AD curve: potential output rises from Y_{fe1} to Y_{fe2} and the price level **falls** from PL1 to PL2.

Long-run growth in productive capacity delivers more output at lower prices — the classical case for supply-side improvement over demand stimulus.

Show the effect of a rise in LRAS in the Keynesian model.

ANSWER



The whole L-shaped curve shifts right (LRAS1 to LRAS2) along AD: equilibrium output rises from Y1 to Y2 and the price level falls from PL1 to PL2.

The gain is largest when the economy was operating near the **vertical section** of the old curve — where capacity, not demand, was the binding constraint.

Define the multiplier, and state the multiplier ratio.

ANSWER

The multiplier is the process by which an initial injection, such as an increase in government spending, investment, or exports, leads to a larger final increase in national income and real GDP.

The **multiplier ratio** $k = \text{final change in real GDP} \div \text{initial injection}$.

If a £2 billion increase in government spending raises GDP by £6 billion, the multiplier is 3.

Explain the multiplier process, step by step.

ANSWER

An initial injection — say the government builds a hospital — becomes **income** for builders and architects. They spend a proportion of it, set by their **marginal propensity to consume**, and that spending becomes income for others, who spend a proportion in turn.

Each round is smaller than the last, so the total rise in national income converges on a **multiple of the original injection**.

Define the four marginal propensities, and the relationship between them.

ANSWER

Each shows what happens to an extra pound of income:

- **MPC** — the proportion spent on domestic goods and services.
- **MPS** — the proportion saved.
- **MPT** — the proportion paid in tax.
- **MPM** — the proportion spent on imports.

$MPC + MPS + MPT + MPM = 1$, because every extra pound is either consumed, saved, taxed or spent on imports.

State the two multiplier formulae, and what makes the multiplier large or small.

ANSWER

$$M = 1/(1 - MPC) = 1/MPW$$

Using consumption: $1 \div (1 - MPC)$. Using withdrawals: $1 \div MPW$, where $MPW = MPS + MPT + MPM$. The two agree because $1 - MPC = MPW$.

The size of the multiplier depends on **leakages**: a higher MPC means a larger multiplier; higher saving, taxation or imports shrink it. Spare capacity and confidence also strengthen the effect in practice.

In an economy, households save 15p, pay 20p in tax and spend 5p on imports out of every extra £1 of income. Investment rises by £3 billion. Calculate the multiplier and the final change in real GDP.

ANSWER

$$MPW = 0.15 + 0.20 + 0.05 = \mathbf{0.4}$$

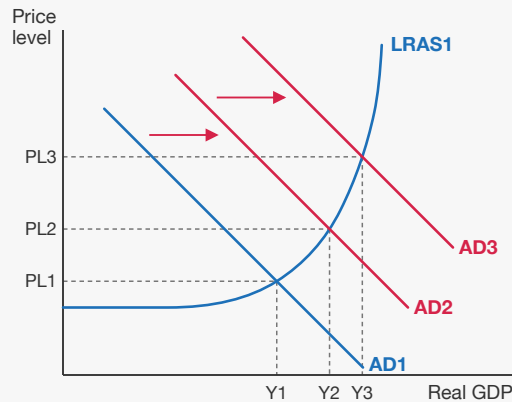
$$\text{Multiplier} = 1 \div 0.4 = \mathbf{2.5}$$

$$\text{Final change in real GDP} = \text{£3bn} \times 2.5 = \mathbf{\text{£7.5 billion}}$$

Every leakage counts: MPC here is $1 - 0.4 = 0.6$, and $1 \div (1 - 0.6)$ gives the same 2.5 — using the saving figure alone would overstate the multiplier badly.

Show the multiplier effect on an AD/AS diagram.

ANSWER



The initial injection shifts AD from AD1 to AD2; the induced rounds of consumer spending carry it further to **AD3**. Real GDP rises from Y1 to Y2 and then Y3 — a total rise larger than the initial injection alone would give.

Note the price effect: as the economy climbs the Keynesian curve towards capacity, more of each shift feeds prices (PL1 to PL3) and less feeds output.

Distinguish the causes of short-run and long-run economic growth.

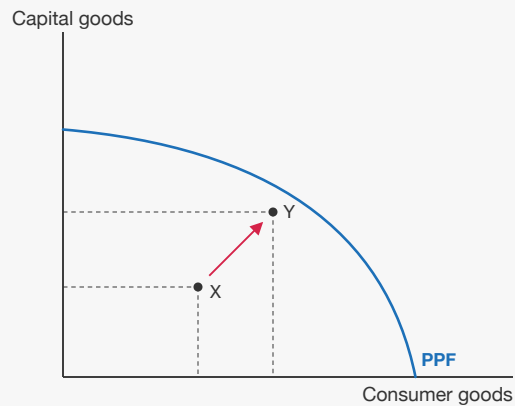
ANSWER

Short-run (actual) growth is caused by a rise in aggregate demand — any of C, I, G or X – M — or in SRAS. The economy moves closer to its existing productive potential.

Long-run (potential) growth is caused by a rise in the quantity or quality of the factors of production, expanding productive capacity — LRAS and the PPF shift outward.

Show short-run growth on a PPF diagram.

ANSWER

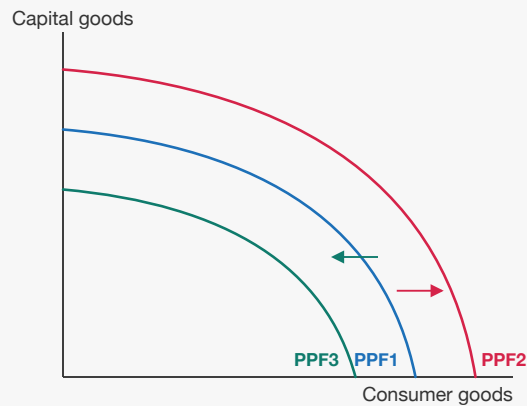


The economy moves from point X, inside the frontier, to point Y, closer to it — putting unemployed resources to work raises actual output.

The frontier itself does not move: potential output is unchanged, which is what makes this **actual** rather than potential growth.

Show long-run growth on a PPF diagram.

ANSWER



The whole frontier shifts outward (PPF1 to PPF2): the economy can produce more of **both** goods, because its productive potential has increased — the same story as LRAS shifting right.

An inward shift (to PPF3) shows economic decline, for example after a war or natural disaster destroys capacity.

Explain export-led growth, with an example and a risk.

ANSWER

A strategy where growth is driven mainly by a sustained rise in **exports**: rising exports raise AD directly in the short run, and the income and investment they generate then improve productive capacity in the long run. China's rapid growth from the 1990s to the 2010s is the standard example.

The risk: dependence on global demand leaves the economy vulnerable to external shocks.

Define an output gap, and distinguish actual growth from the trend rate.

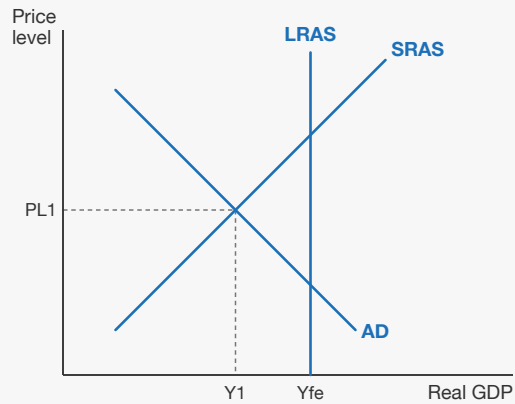
ANSWER

An output gap is the difference between the actual level of real GDP and the potential level of real GDP — output at full capacity. Actual above potential is a **positive** gap; below it, a **negative** (recessionary) gap.

Actual growth is the yearly change in real GDP; the **trend rate** is the long-term average, measured over ten years or more. Growth above trend builds inflationary pressure; below trend, unemployment.

Show a negative output gap in the classical model.

ANSWER

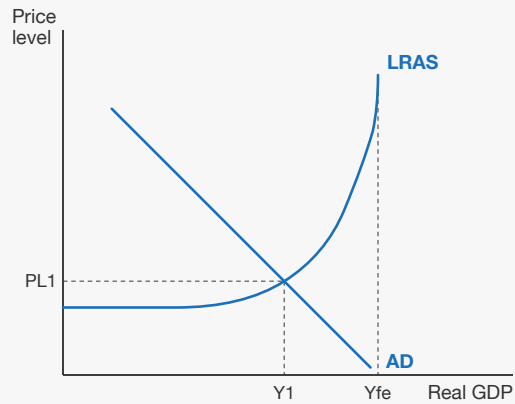


AD and SRAS intersect at Y_1 , to the **left** of the vertical LRAS at Y_{fe} : actual output is below potential. The gap $Y_{fe} - Y_1$ is spare capacity — unemployed workers and idle machines — putting downward pressure on prices.

In the classical view this is temporary: wages and prices adjust and the economy returns to Y_{fe} .

Show a negative output gap in the Keynesian model.

ANSWER

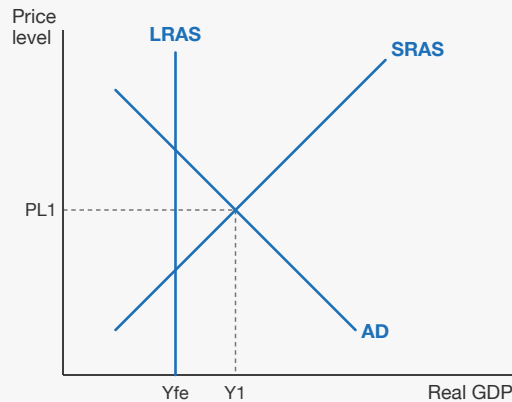


AD crosses the L-shaped LRAS on its elastic section, at Y_1 below full capacity Y_{fe} . The economy is in **equilibrium with spare capacity**.

The Keynesian point: this can persist — there is no automatic return to Y_{fe} , so unemployment can last until demand is stimulated.

Show a positive output gap in the classical model.

ANSWER



AD and SRAS intersect at Y_1 , to the **right** of LRAS at Y_{fe} : actual output temporarily exceeds potential, with factors of production overworked — overtime hours, machinery run beyond normal capacity.

This is an **inflationary gap**: it cannot last, and prices are bid upward as the economy strains beyond Y_{fe} .

Why are output gaps difficult to measure?

ANSWER

Because **potential GDP is not directly observable** — it must be estimated from models, and different models give significantly different answers.

Changes in technology, labour-force participation and the capital stock keep moving potential output itself, so the size (and even the sign) of the gap at any moment is uncertain. This matters: policy set on a mismeasured gap can destabilise rather than stabilise.

Define the trade cycle, and name its four phases.

ANSWER

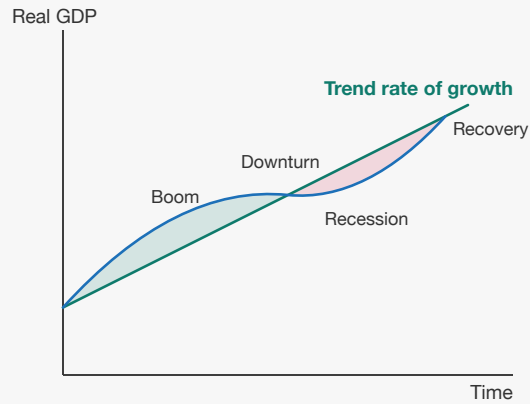
The **trade cycle** is the fluctuation in real GDP over time, with periods of boom and recession, as actual GDP rises and falls around the long-term trend rate of growth.

Four phases:

- **Boom** (peak, above trend).
- **Recession** (downturn — a technical recession is two consecutive quarters of negative growth).
- **Slump** (trough, largest negative gap).
- **Recovery** (expansion back towards trend).

Draw the trade cycle.

ANSWER



Actual real GDP fluctuates around the upward-sloping **trend rate of growth**, which traces the path of potential output (LRAS). Above the trend the economy runs a **positive output gap** (boom); below it, a **negative output gap** (recession); the turning points are the downturn and the recovery.

The fluctuations around the trend mainly reflect changes in aggregate demand.

Contrast the characteristics of a boom and a recession.

ANSWER

Boom

- High and rising real GDP.
- Low unemployment.
- Demand-pull inflation.
- A positive output gap.
- High confidence and investment.
- Rising tax revenue.

Recession

- Falling real GDP.
- Rising unemployment.
- Low or falling inflation.
- A negative output gap.
- Low confidence and investment.
- Falling tax revenue — which is why deficits widen in downturns.

State the main benefits of economic growth for consumers, firms and the government.

ANSWER

- **Consumers** — higher real incomes and living standards, lower absolute poverty, more employment.
- **Firms** — higher demand, confidence, investment and profits.
- **Government** — rising tax receipts (income tax, corporation tax, VAT) and lower welfare spending.

Higher incomes and profits can also fund better environmental technology — growth is not automatically dirty.

State the main costs of economic growth, and the debate they feed.

ANSWER

- Demand-pull **inflation**.
- **Worsened inequality** when gains are uneven.
- **Environmental damage** — pollution, resource depletion, biodiversity loss.
- A worsening **current account** as imports rise.
- Worse work-life balance.
- More consumption of demerit goods.

Hence the modern debate: should governments target growth itself, or broader measures of societal well-being?

List the seven macroeconomic objectives, with the UK's usual targets.

ANSWER

- **Economic growth** (sustainable, around 2–3%).
- **Low unemployment** (near full employment, around 4–5%, allowing for frictional unemployment).
- **Low and stable inflation** (CPI target of 2%).
- **Balance of payments equilibrium** on the current account.
- **Balanced government budget** over the cycle.
- **Greater income equality** (often measured by the Gini coefficient).
- **Protection of the environment** (for example net-zero commitments).

Why do governments not pursue every objective at once?

ANSWER

Because the objectives **trade off** against each other: improving one often worsens another — faster growth can raise inflation, imports and emissions; redistribution can blunt incentives. Governments therefore **prioritise**, and the priority shifts with circumstances (inflation-fighting in 2022–23; jobs and demand in 2008–09).

Note the targets are also judgements: complete equality and zero unemployment are not desirable, so "low" and "greater" are deliberate wordings.

Define demand-side policies, and distinguish the two types.

ANSWER

Demand-side policies are policies used by the government or central bank to shift the aggregate demand (AD) curve in order to achieve macroeconomic objectives such as low inflation, low unemployment, and economic growth.

- **Monetary policy** — managed by the independent Bank of England: interest rates and the money supply.
- **Fiscal policy** — managed by the government: government spending (G) and taxation (T).

Trace how a cut in interest rates raises aggregate demand.

ANSWER

A lower base rate makes borrowing cheaper and saving less rewarding.

- **Consumption** rises as credit is cheaper and mortgage payments fall, freeing disposable income.
- **Investment** rises as more projects clear the cheaper cost of borrowing.

Both are components of AD, so AD shifts right.

Raising rates runs the chain in reverse — the standard tool for cooling inflation.

What is quantitative easing, and how does it work?

ANSWER

QE is the central bank creating new money (digitally) and using it to buy government bonds from financial institutions. The banks' liquidity rises, giving them the incentive to expand lending; to lend more they lower interest rates, so borrowing, spending and AD rise.

It is the tool for when the base rate is already near its 0% lower bound and further cuts have little effect — as after the 2008 financial crisis.

Distinguish budget deficit, surplus and balance, and direct from indirect taxes.

ANSWER

- **Deficit:** $G > T$ — the government must borrow, adding to the national debt.
- **Surplus:** $T > G$ — the excess can repay debt.
- **Balanced:** $G = T$.

Direct taxes are levied on income and profits — income tax, corporation tax, National Insurance.

Indirect taxes are levied on spending — VAT and duties — and are paid via the seller.

What is the role of the Bank of England's Monetary Policy Committee?

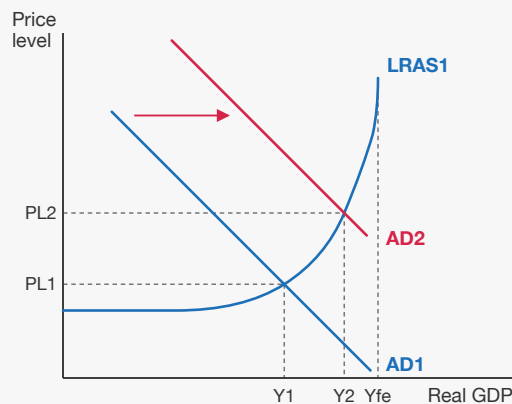
ANSWER

The **MPC** is the committee that sets UK monetary policy: it decides the official interest rate (Bank Rate) and the scale of asset purchases (QE), meeting regularly through the year.

Its mandate is the Government's **2% CPI inflation target**, but it operates **independently** of government — independence, granted in 1997, makes the commitment to low inflation credible.

Show the effect of expansionary demand-side policy on an AD/AS diagram.

ANSWER



Rate cuts, QE, higher G or lower T all shift AD right (AD1 to AD2). With **spare capacity** (Keynesian section shown), output rises strongly from Y1 to Y2 for only a modest price rise — the policy case for stimulus in a downturn.

Near full capacity the classical result takes over: the same shift mostly raises the price level. Where the economy sits on the curve decides which you get.

Evaluate the weaknesses of demand-side policies.

ANSWER

- **Time lags** — monetary policy can take up to two years to bite (fixed-rate mortgages delay the pass-through; investment takes time to plan).
- **Liquidity trap** — near the 0% lower bound, further cuts do little, forcing resort to QE.
- **Asset price bubbles** — cheap money can inflate housing and stock markets.

Fiscal stimulus adds a further cost: deficits accumulate into debt, constraining future policy.

And any stimulus risks overshooting into inflation.

Define supply-side policies, and distinguish the two approaches.

ANSWER

Supply-side policies aim to increase the productive potential of the economy, shifting the LRAS curve to the right.

- **Market-based** policies increase capacity by **removing government intervention** — lower taxes, deregulation, privatisation.
- **Interventionist** policies increase capacity **through government spending** — education, training, infrastructure.

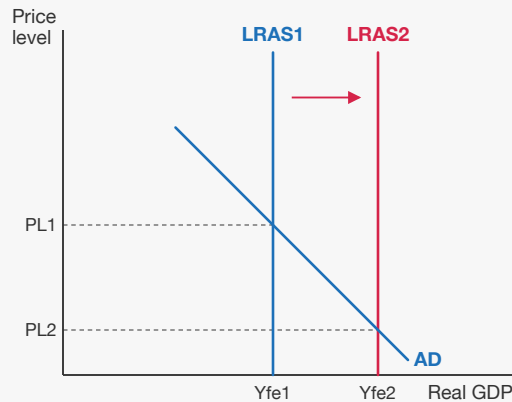
Give a supply-side policy for each aim.

ANSWER

- **Incentives** — cut income tax so work pays (though top-rate cuts can be regressive, and some workers reduce hours instead).
- **Competition** — deregulation and privatisation, lowering barriers to entry.
- **Labour-market reform** — more flexible hiring and working arrangements.
- **Skills** — spending on education and training.
- **Infrastructure** — investment in transport, energy and digital networks.

Show the effect of successful supply-side policy on an AD/AS diagram.

ANSWER



By improving the quantity or quality of the factors of production, the policy shifts LRAS right (LRAS1 to LRAS2): output rises from Y_{fe1} to Y_{fe2} while the price level **falls** — growth without inflation, which is why supply-side policy conflicts least with the other objectives.

On the Keynesian model the same shift only raises output if the economy is near capacity — with a deep negative output gap, extra capacity sits unused.

Evaluate the strengths and weaknesses of supply-side policies.

ANSWER

Strengths: they raise capacity, so growth is sustainable and non-inflationary, and long-run competitiveness improves.

Weaknesses: long **time lags** (education takes a generation to pay off); interventionist policies are expensive for the public finances; market-based policies can worsen **inequality**; and none of them help when the problem is deficient demand — extra capacity is useless in a slump.

State the main trade-offs between macroeconomic objectives.

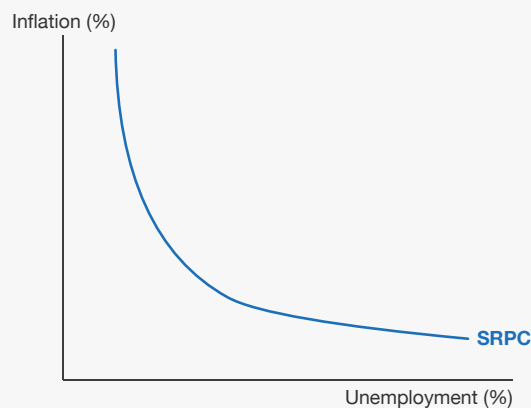
ANSWER

- **Growth vs inflation** — demand-led growth pulls prices up.
- **Growth vs the environment** — more production means more emissions and resource use.
- **Growth vs equality** — gains often accrue to higher earners first.
- **Growth vs the current account** — rising incomes suck in imports.

And the classic: **low unemployment vs low inflation**, captured by the short-run Phillips curve.

Draw and explain the short-run Phillips curve.

ANSWER



The SRPC shows a **trade-off between unemployment and inflation**: moving along the curve, lower unemployment comes with higher inflation. The reason is demand-pull — lower unemployment raises average incomes and consumer spending, bidding prices up.

The limitation is in the name: the trade-off holds only in the **short run**.

Evaluate the main policy conflicts and trade-offs.

ANSWER

- **Monetary:** higher rates curb inflation by cutting AD — but the same cut hits investment and growth.
- **Fiscal:** expansionary policy boosts short-run growth but widens the deficit and debt, constraining future policy.
- **Supply-side:** market-based reforms buy efficiency at the cost of equity, while interventionist ones reduce inequality but cost more and work slowly.

Good evaluation names the trade-off, then argues which side matters more in the given context.

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